

Actionable Recommendations

1. Implement Risk-Based Approval

Use **credit score, income, employment type, and loan characteristics** together when evaluating applications, rather than relying on a single factor.

2. Strengthen Auto Loan Monitoring

Because Auto Loans have the highest average payment delay (**10.31 days**), introduce closer payment tracking and early reminders for this segment.

3. Create Early-Warning Alerts

Monitor customers with **payment delays above 60 days** and trigger early alerts, reminders, or follow-up before the account moves toward default.

4. Strengthen Young-Customer Risk Monitoring

The Young segment has the highest observed default rate (**4.80%**), so the bank can apply additional affordability and repayment-capacity checks to this segment.

5. Monitor Home Loan Portfolio Exposure

Since Home Loans represent about **59.08% of total loan value**, the bank should continuously monitor this segment because changes in its risk profile could have a significant impact on overall portfolio exposure